

In addition to the down payment, the typical home buyer also has to pay about 1% to 5% of a home's price in so-called closing costs; these include fees for inspections, appraisals, title insurance, credit checks, land surveys, and legal services that can add up to thousands of dollars. Also, some lenders require buyers to have two or three months of mortgage payments saved up in reserve.

- **Your income.** Lenders want to make sure you earn enough to pay the costs of owning a home. To do this they compare your future monthly housing costs (also known as your **PITI**, which stands for Principal, Interest, property Taxes, and Insurance) to your pretax monthly income. The traditional guideline used by lenders is that your PITI should not exceed 28% of your pretax monthly income. During the housing boom, lenders started relaxing that standard, offering mortgages to borrowers whose costs ate up a much higher percentage of their income. Sometimes, they didn't even bother to verify salaries. Those days are long gone. Still, under special circumstances—if you have a spotless credit history or can make a very large down payment—lenders may accept PITI costs of up to 36%.
- **Your debt-to-income ratio.** Lenders also want to make sure you aren't already burdened with lots of loans. That's why they look at your current monthly debt commitments (such as auto loan payments, student loan payments, and minimum credit card payments.) Then they add in your future monthly housing costs and calculate what portion of your monthly income before taxes will go to these expenses. The percentage they come up with is called your debt-to-income ratio. Lenders have traditionally liked to see a debt-to-income ratio that doesn't exceed 36%, but during the housing boom years they became lax, allowing the ratio to rise to as much as 55%. Today, a ratio higher than 36% is the exception—only for applicants making a very high down payment or those with *stellar* credit.